

	Standard Operating System				
	Logistics	SOP	01	Rev.0	A

Standard Operating Procedures

Logistics

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	Standard Operating System				
	Logistics	SOP	01	Rev.0	A

Table of Contents / Index

S. No.	Description	Section
1	Title page	-
2	Table of contents/ index	
3	Control Sheet	
4	Introduction and Definition	
5	Objective	
6	Scope	
7	Policy	
8	Roles	
9	Modes of Transport	
10	Freight insurance	
11	Finance and Accounting	

	Standard Operating System				
	Logistics	SOP	01	Rev.0	A

Logistics: (Introduction)

Logistics is the process of moving and handling goods and materials, from beginning to the end of production, -production and sales process to satisfy customers and business competitiveness

Logistics Management (Definition) is the process of planning, implementing and controlling the efficient, effective flow and storage of raw materials, in process inventory, finished goods, services, and related information from point of origin to point of consumption (including inbound, outbound, internal and external movements) for the purpose of conforming to customer requirements

Types of Logistics:

INWARD LOGISTICS – Freight inward

Inbound Logistics – covers the movement of materials received from the suppliers

Outbound Logistics- (physical distribution – Freight Outward)

Physical distribution refers to the movement of goods outwards from the end of the assembly line to the customer.

Material Management:

Material Management describes the movements of materials and components within the Company

Personnel Logistics:

Transportation facility is provided to the Employees of HBL through modes like Buses, and Pooling cars depending on the level of Employees

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	Logistics	SOP	01	Rev.0	A

Objective

- a) The General objective of the logistics can be summarized as:
 - Cost reduction
 - Capital reduction
 - Service improvement
- b) The specific objective of an ideal logistics system is to ensure the flow of supply to the customer, the:
 - Right product
 - Right quantities and assortments
 - Right places
 - Right time
 - Right cost / price and,
 - Right condition

SCOPE

This SOP- Logistics concentrates on policies and procedures, various key factory and procedure involved in Logistics management in HBL namely

- Customer Service
- Demand Forecasting

Policy

This policy aims to achieve the following objectives as decentralized system of logistics management is used in HBL

- a) Provide guide lines that employees of the HBL must follow in the management and control of transportation, including inventory and stores management
- b) Use transportation system which is in line with the established procurement principles contained in the HBL's policy
- c) Eliminate any potential misuse of Freight and possible theft, damage to goods in transit
- d) HBL's concerned authority shall ensure:
 - Inventories are transported securely

	Standard Operating System				
	Logistics	SOP	01	Rev.0	A

HBL has fit-for-purpose software (SAP) and systems to accurately record the order, movement of inventories

Appropriate controls are in place to ensure the accurate and timely entry of transactional information in to logistics systems

Transportation modes are in accordance with HBL's Logistics management policies

Appropriate segregation of duties and security over the access to Freight and the processing of freight transactions, in accordance with Company's Delegated authorities

Role of logistics in HBL

- a) HBL being a manufacturing concern and with large number of divisions and plants needs a strong and flexible logistics management with high level of mutual co-ordination among the employees to achieve high level of Customer satisfaction
- b) The main business of HBL is Production and Sale of Batteries which requires good
 - Stores Management: for Storage of Raw materials and finished goods
 - Inventory Management: for having less safety stock, stock at right quantity, right time
 - Logistics Management: For the purpose of having apt stores management and inventory management system a Logistics management system with relevant procedures and policies is required with flexible and cost effective transportation procedures
- c) Logistics System in HBL plays a good roles in transportation of
 - Raw materials: Transported from supplier or any internal Transfer
 - Finished goods: Transported to Customer or any internal transfer
 - Employees – Apart from the above HBL provides transportation facility to Employees
- d) The concept of Logistics has its base upon the system approach. There is single chain with flow of materials starting from the supplier, then to the plant and finally to the end customer and these activities are done sequentially in order to achieve customer satisfaction at low cost. For this to be successful there has to be coordination in the activities of the department

Modes of Transport used in Logistics Management

- a) Air transport : Only in case of imports and Exports Air transportation is usually used in HBL

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	Logistics	SOP	01	Rev.0	A

- b) Sea / Water transport : Only in case of imports and Exports Sea/water transportation is usually used in HBL
- c) Railways:

Generally capable of transporting large quantities of freight over long distances very economically. It is the main source of transportation of Goods and raw materials which are transported across the length and breadth of the country. The railways also change competitive freight rates. HBL uses Railways mode of transportation for indigenous Purchases and sales

- d) Roadways :
Roadways is the major mode of transportations used by HBL. The company enters into agreement with the Contractors comprising of following terms and conditions
Registration number of vehicle
Method of payment
Amount of payment
Duration of Engagement
Penalty in case of Absenteeism
Vehicle Fit ness Certificates, Copy of RC, Drivers License copy, Approval from RTA, Vehicle insurance policy have to be obtained at the time of execution of Contract itself
Contract validity period

Freight Insurance

- a) The following types of Freight insurance are taken by HBL which covers physical damage to, or loss of your goods whilst in transit by land, sea and air and offers considerable opportunities and cost advantages if managed correctly, namely:
Fire Insurance
Marine insurance
Cargo insurance
- b) Original insurance policy, cover note are to be filed in the respective plant
- c) The insurance policy value must cover the value of shipment
- d) Details of all the compensations received in case of happening of an event is to be maintained

Finance and Accounting:

- a) A freight bill represents 'Freight Inward/Outward' paid by HBL when goods are transported to / From respective unit
- b) Freight inwards is paid in accordance with the rates as approved by commercial department upon dispatch of Goods, the Transporter submits the

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	Logistics	SOP	01	Rev.0	A

Freight bill to the Commercial department, which is forwarded to Finance Department for accounting of the Expenditure

- c) For every bill an amount equal to the approved rate is added to freight as diesel charges
- d) Where a bill is received it is booked directly